

# Credit Readiness Advisory — Company Blueprint

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A credit-readiness advisory for SMEs in Germany and Austria that are creditworthy but rejected, under-financed, or mispriced due to fixable presentation, documentation, or lender-fit issues — not genuine credit risk — built on a founder background in bank credit risk modeling (PD/LGD, scorecards, calculation engines).

## Why This Company Exists

German and Austrian SME lending is tightening structurally, and inside that squeeze sits one specific, addressable failure: businesses that are genuinely creditworthy get rejected, under-financed, or mispriced because of how their numbers are presented and which lender's model they happen to land on — not because of the underlying business risk.

In Q2 2026, 40.5% of German Mittelstand firms in active credit negotiations reported their banks acting restrictively — a record since KfW's survey began in 2017, up 6.5 percentage points in a single quarter, with retail and services sectors hit hardest. [KfW Research, 7 July 2026](#) Euro area bank surveys confirm this is a Germany-specific and SME-specific pattern: rejection rates for SME loans rose further in net terms in Germany through the third and fourth quarters of 2025, more sharply for SMEs than for large firms, while several other large euro-area countries saw unchanged or falling rejection rates over the same period. [ECB Bank Lending Survey, Q3 2025 · Q4 2025](#)

The founder's specific edge is that this is not a market-research problem — it is a modeling-literacy problem. A background in bank credit risk modeling (PD/LGD estimation, application scorecards, calculation engines) means being able to read an SME's financials the way a bank's rating engine does, diagnose exactly which factor is failing, and fix what is fixable before the SME ever reapplies — a skill set neither a generic bookkeeper, a premium consulting firm priced for €50M+ companies, nor a fully automated fintech lender currently applies at the €3–15M SME scale in this market.

## Target Market & Addressable Segment

A rough reject-inference funnel for Germany, built from the best available public data, narrows a 3.4 million-company headline SME count down to a realistic serviceable segment of roughly 5,000–8,000 businesses a year.

| Stage                                                                                             | Estimate                                 | Basis                                                                                                                                                                            |
|---------------------------------------------------------------------------------------------------|------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Small + medium enterprises, 10–249 employees (excludes micro, 0–9 employees)                      | ~419,000 (363,462 small + 55,518 medium) | <a href="#">Destatis / Statista, 2022</a>                                                                                                                                        |
| Apply for a bank loan in a given survey period                                                    | ~113,000 (27% of the above)              | ECB SAFE-derived figure, via <a href="#">Journal of Small Business Strategy, 2025</a>                                                                                            |
| Face significant financing obstacles (rejected, partially rejected, or discouraged from applying) | ~16,000 (14% of applicants)              | Same source; described as the highest rate since 2016                                                                                                                            |
| Estimated “fixable, not genuinely uncreditworthy” subset                                          | ~5,000–8,000/year                        | Internal planning assumption (one-third to one-half of the obstacle group) — <b>unvalidated, needs primary interviews with SME owners and Steuerberater before being trusted</b> |

Three caveats on this funnel, stated plainly rather than hidden in a footnote: the 27%/14% figures are euro-area-wide, applied to Germany — Germany’s own rejection rate has been rising faster than the euro-area average through 2025, so this likely understates the current German number; ECB SAFE reports over rolling survey periods, not clean annual windows, so the funnel is an order-of-magnitude snapshot, not an annual run-rate; and the final “fixable” split is judgment, not a published statistic — it is the single most important number to validate before committing capital, and the cheapest way to validate it is direct interviews, not more desk research.

Austria is excluded from this sizing for now — comparable size-class and rejection-rate data has not yet been pulled with the same rigor, and should be a first research task before expanding there, not an assumption carried over from Germany.

## Solution Architecture — Two Functions, Kept Separate

The product is deliberately two distinct functions rather than one black-box score, because they carry different regulatory weight and different trust logic with the client.

**Diagnostic engine.** SME uploads a current BWA, recent balance sheets, and ideally 6–12 months of bank transaction data. A rules-and-ratios triage engine — built from known scorecard logic (DSCR, equity ratio, leverage trend, payment behavior), not a certified credit rating — flags specifically which factors would pull the application below an approvable line at a typical lender.

**Remediation & routing.** A human advisor translates each flag into a concrete action — fix BWA cadence, reclassify a liability, switch from a term loan to factoring, route through a KfW Haftungsfreistellung program — then matches the corrected profile to the lender-type most likely to approve it.

flowchart TD

A[SME uploads BWA, balance sheet, bank data] --> B[Diagnostic engine: ratio and structural scan]

B --> C{Weakness type}

C -->|Presentation or ratio issue| D[Remediation: reclassify, fix BWA cadence]

C -->|Wrong product for the need| E[Redesign: term loan vs factoring vs credit line]

C -->|Collateral gap| F[Route to KfW / Haftungsfreistellung program]

D --> G[Lender-fit matching]

E --> G

F --> G

G --> H[Placement: Hausbank, KfW, or alt-lender]

H --> I[Outcome: approval, better rate, or an informed decision not to apply]

The diagnostic engine is intentionally priced and delivered as a standalone product — an SME can pay for it, fix its own file, and walk away without ever needing the routing service, which is what keeps the business advisory rather than brokerage at its core, with brokerage as an optional add-on (see Regulatory & Licensing).

## Technology Stack

| Layer                            | Approach                                                                                                                        | Why                                                                                                                                                                                |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Document intake                  | Secure client portal for BWA, balance sheet, and bank statement upload                                                          | GDPR-compliant EU hosting is non-negotiable given the sensitivity of the data handled                                                                                              |
| Structured data extraction       | Parse DATEV-format BWA exports directly where available; PDF/OCR fallback for scanned statements                                | DATEV is the near-universal German SME accounting standard — building for its export format first covers most clients with far less parsing complexity than generic PDF extraction |
| Bank transaction data            | Licensed open-banking aggregator (e.g. finAPI, Tink, or a comparable PSD2 account-information provider), accessed via their API | Rents the regulated open-banking capability instead of requiring your own BaFin/ZAG account-information-service license                                                            |
| Scoring / diagnostic logic       | In-house rules-and-ratio engine (Python), transparent and explainable, not a black-box ML score                                 | Explainability is both a trust requirement for SME clients and what keeps the tool clearly on the advisory side of the credit-rating-agency line (see Regulatory & Licensing)      |
| Case management                  | Lightweight tracker at MVP stage (e.g. Airtable), custom system once volume justifies it                                        | Tracks engagement status, documents received, flags raised, remediation actions, placement outcome                                                                                 |
| Client communication & contracts | E-signature for engagement letters; secure messaging rather than email for financial documents                                  | Reduces both data-handling risk and client friction                                                                                                                                |

| Layer                 | Approach                                                                                                                    | Why                                                                       |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|
| Security & compliance | EU-based hosting (Frankfurt region), encryption at rest and in transit, data processing agreements with every sub-processor | Baseline requirement independent of which specific licensing tier applies |

The honest build order: the diagnostic logic can and should start as a spreadsheet-based ratio engine run manually on the first handful of real client files — that is a legitimate MVP, not a shortcut to be embarrassed about. Automate a layer only once real client volume makes the manual version the bottleneck, not before.

## Data Requirements

**From the client, every engagement:** current BWA (ideally monthly, no older than 2–3 months), 2–3 years of annual financial statements, Summen- und Saldenliste, existing loan agreements and terms, commercial register extract (Handelsregisterauszug), and — ideally, since it is the single highest-value input — 6–12 months of bank transaction data via open banking, because it is live and cannot be dressed up the way annual statements sometimes are.

**Third-party reference data, per engagement or periodically:** a company credit report from Creditreform, so the diagnostic sees what a bank underwriter is likely already seeing (roughly €12–€54 per report depending on depth, or a membership around €740/year for discounted per-report pricing); sector-level financial ratio benchmarks published by the Deutsche Bundesbank (Verhältniszahlen aus Jahresabschlüssen deutscher Unternehmen), which let the diagnostic flag whether a client’s ratios are weak in absolute terms or only relative to a genuinely difficult sector; and publicly available KfW program conditions (Merkblätter) to check collateral and eligibility fit against current promotional lending products.

**Proprietary data, compounding over time:** the actual long-term moat is not any single data source above — it is outcome tracking. Every engagement’s flagged weaknesses, the remediation applied, which lender-type it was routed to, and whether it was approved becomes a growing internal dataset that no competitor starts with. Early on this is a spreadsheet log, not a model; treat it as an asset from the first client onward, because it is what eventually lets the triage logic move from generic scorecard rules toward something calibrated on this business’s own placement history.

## People & Team, Phased

**Phase 0 — side project, solo.** Founder handles diagnostic and advisory work directly. A freelance developer, contracted rather than hired, builds the basic intake portal. Critically, a Steuerberater relationship is not optional here: ratio reclassification or restatement should never be done unilaterally — it needs the client's own accountant's sign-off, which also makes Steuerberater a natural referral channel rather than just a compliance requirement.

**Phase 1 — first hire, once revenue supports it (realistically post-Permanent Residency, given Blue Card constraints on active operational roles).** A part-time or junior credit analyst to run diagnostics at volume, freeing the founder for client-facing advisory and the lender-relationship side, which is where the real trust and placement quality gets built.

**Phase 2 — scaling.** A dedicated product/engineering hire to move the diagnostic logic from spreadsheet-based rules toward a proper internal tool; a business-development hire focused specifically on building relationships across multiple lender types (Sparkassen/Volksbanken contacts, KfW-program familiarity, two or three alt-lender partnerships), since placement quality depends on having real relationships, not just a database of public criteria; and a fractional legal/compliance advisor on retainer, given the proximity to regulated financial services even while deliberately staying on the advisory side of the line.

## Regulatory & Licensing — What's Needed, What's Deliberately Avoided

**Avoided by design:** a full banking license under §32 KWG, which is only required for lending or deposit-taking on the company's own balance sheet — this business never touches a client's loan capital, so it stays entirely outside that regime. Also avoided: positioning as a credit rating agency, a BaFin-supervised activity under the EU CRA Regulation — the diagnostic must be labeled and delivered as directional advisory triage, not a certified score or a prediction of approval odds, both internally in how the tool's output is worded and externally in marketing.

**Likely required:** if the business ever earns a success fee tied to placing a loan (rather than only a flat advisory fee), that activity plausibly falls under §34c of the Gewerbeordnung (credit brokering, Kreditvermittlung) — a Gewerbeamt (trade office) registration, a clean police record (Führungszeugnis), and professional liability insurance,

materially lighter than a KWG license and achievable in weeks rather than months. Whether the business needs this from day one depends on the exact fee structure chosen (see Revenue Model) — this is a specific point worth a short paid consultation with a German commercial lawyer before the first paying client, not something to assume either way.

**Baseline regardless of structure:** GDPR compliance is non-negotiable given the volume of sensitive financial data handled — data processing agreements with every tool vendor, EU-based hosting, and a documented basis for processing each client's data.

**Legal entity:** a UG (haftungsbeschränkt) is the appropriate starting structure — minimal capital requirement (€1, though €1,000–€2,000 covers real setup costs), personal liability protection, upgradeable to a full GmbH later.

**Blue Card constraint, restated because it governs sequencing:** Nebentätigkeit (side-business) approval from the employer is required before any of this becomes formally operational, and the employer will scrutinize whether the venture conflicts with the bank's own client base given the founder's credit-modeling role. Holding shares is straightforward; being the active operational Geschäftsführer is not permitted on a Blue Card without separate approval from the Ausländerbehörde — this is the clearest practical argument for treating Phase 0 as genuinely part-time and side-structured until Permanent Residency removes the constraint.

## Revenue Model & Unit Economics

The SME pays, not the lender — deliberately. A bank-paid referral commission creates a conflict of interest between "best rate for the client" and "wherever pays the most," and it puts this business in direct structural competition with incumbents like Compeon that already run large multi-bank commission networks. Two components, both from the client:

| Component                                                      | What it covers                                                                   | Illustrative range           |
|----------------------------------------------------------------|----------------------------------------------------------------------------------|------------------------------|
| Diagnostic / advisory fee (flat, earned regardless of outcome) | The actual quant work: ratio analysis, weakness identification, remediation plan | €1,500–€3,000 per engagement |
| Success fee (only if placement service is also used)           | Matching to and successfully placing with a lender                               | 1.5–2% of facility size      |

All figures in this section are illustrative planning assumptions, not benchmarked against actual German Kreditvermittler or Finanzierungsberater fee schedules — that benchmarking is a concrete next step before pricing is finalized, not a formality.

Rough blended math: at an average facility size of €200,000–€400,000 in this SME segment and roughly half of diagnostic clients converting to a successful placement, average revenue per engaged client lands somewhere around €4,000–€8,000 across the full funnel (including clients who only pay the diagnostic fee). At a deliberately modest side-business pace of 2–3 new engagements a month, that implies roughly €10,000–€20,000 a month once the pipeline is running — before the founder's time, tooling, insurance, or any hire is costed against it. Treat this as a hypothesis to test against 3–5 real paying clients, not a number to plan around before it's been validated.

## Phased Roadmap

| Phase                    | Timeframe  | Key milestones                                                                                                                                                                                                                                                                                                                                                    |
|--------------------------|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| A — Validate             | Months 0–3 | Nebentätigkeit approval from employer; 3–5 real SME cases run manually (spreadsheet-based) through warm contacts, including ones from the earlier import-business network; interviews with SME owners and Steuerberater to test the “fixable vs. genuinely uncreditworthy” split; short legal consultation on §34c applicability given the intended fee structure |
| B — First paying clients | Months 3–9 | Form the UG; basic intake portal live; 5–10 paying diagnostic engagements; 2–3 active Steuerberater referral relationships; outcome tracking log started from client 1                                                                                                                                                                                            |

| Phase                                | Timeframe                                                       | Key milestones                                                                                                                                                                                                                                                                          |
|--------------------------------------|-----------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| C — Build lender relationships       | Months 9–21                                                     | Real relationships with a handful of Sparkassen/Volksbanken contacts, working familiarity with current KfW program conditions, 1–2 alt-lender partnerships for cases that need them; diagnostic tool begins moving from spreadsheet to lightweight software; fee benchmarking finalized |
| D — Scale past the Blue Card ceiling | ~Month 21–27 onward, aligned to Permanent Residency eligibility | First hire (credit analyst); founder can take an active operational role without Ausländerbehörde constraints; formalize §34c brokerage registration if the success-fee model has proven itself by this point                                                                           |

The sequencing is deliberate: nothing before Phase D requires quitting the bank job or resolving the Blue Card constraint, which means the riskiest part — does the “fixable rejection” segment actually exist at the size assumed, and will SMEs actually pay for this — gets tested before any structural commitment is made.

## Outcome & Success Metrics

At the SME level, success is concrete and easy to verify per client: an application that would have been rejected gets approved, a facility gets a materially better rate than the client’s own first attempt, or the client makes an informed decision not to apply somewhere they were going to be declined anyway — all three count as value delivered, not just the first.

At the business level, the milestones that actually matter, in order: Phase A validates the core assumption (the “fixable rejection” segment is real and SMEs will pay to fix it) with real cases, not more research; Phase B proves a repeatable paid engagement with a handful of clients; Phase C proves the placement side works well enough that lenders and Steuerberater start referring inbound rather than every client being sourced cold; Phase D is the point where the business could plausibly replace the bank salary, which is the actual test of whether this becomes more than a side project.

The longer-term outcome worth naming honestly: the compounding proprietary dataset from Phase B onward (see Data Requirements) is what eventually could support a genuine, defensible scoring product rather than a rules-based triage tool — but that is a two-to-three-year outcome contingent on volume, not something to build toward before the advisory model itself is proven.

## Key Risks & Open Questions

- ☐ The “fixable vs. genuinely uncreditworthy” rejection split (5,000–8,000/year estimate) is judgment, not data — validate with real SME and Steuerberater interviews before it drives any planning
- ☐ Fee levels (€1,500–€3,000 diagnostic, 1.5–2% success fee) are illustrative, not benchmarked against actual German Kreditvermittler pricing
- ☐ Whether the intended fee structure triggers §34c GewO registration needs a short paid legal consultation, not an assumption either way
- ☐ Employer approval (Nebentätigkeit) is not yet obtained, and the bank may scrutinize overlap with its own SME client base given the founder's credit-modeling role — this should be raised early and honestly, not after the business is already running
- ☐ Austria market sizing and regulatory specifics have not been researched with the same rigor as Germany and should not be assumed to mirror it
- ☐ Competitive risk: incumbent digital lenders (Compeon, Teylor, Iwoca and similar) could move into this exact advisory niche once it's proven — the defensibility is the founder's judgment and the compounding outcome dataset, not the tool itself, which is replicable
- ☐ Liability exposure if remediation advice contributes to a rejected or poorly-priced outcome — professional liability insurance and clear engagement-letter scoping of what is and isn't promised should be in place before the first paying client, not after